

The next item is the purchase of goods which stands at 350 Crores, and can be termed as a large number for this company. This is something that needs to be understood well. What are Vinyl Chemicals, and what is their relation with the company? As seen, Vinyl Chemicals is an associate of this company.

If the company buys from them every year, then it is not a problem. However, if the buying relationship occurs suddenly, we need to understand why this related party transaction of such high volume is taking place suddenly.

CASE 1



If the company buys from them every year then it is not a problem

CASE 2



we need to understand why this related party transaction of such high volume is taking place suddenly

Going ahead, we see very low numbers, be it rent paid, reimbursements or expenses, remunerations or compensations paid to directors, etc. Thus, apart from the purchase of goods, the company is not involved in any other significant related party transaction.

Companies with high related party transactions create grounds for losses, unfair practices, operations in grey areas, etc. Thus, we want possible related party transactions to be as low as possible.